

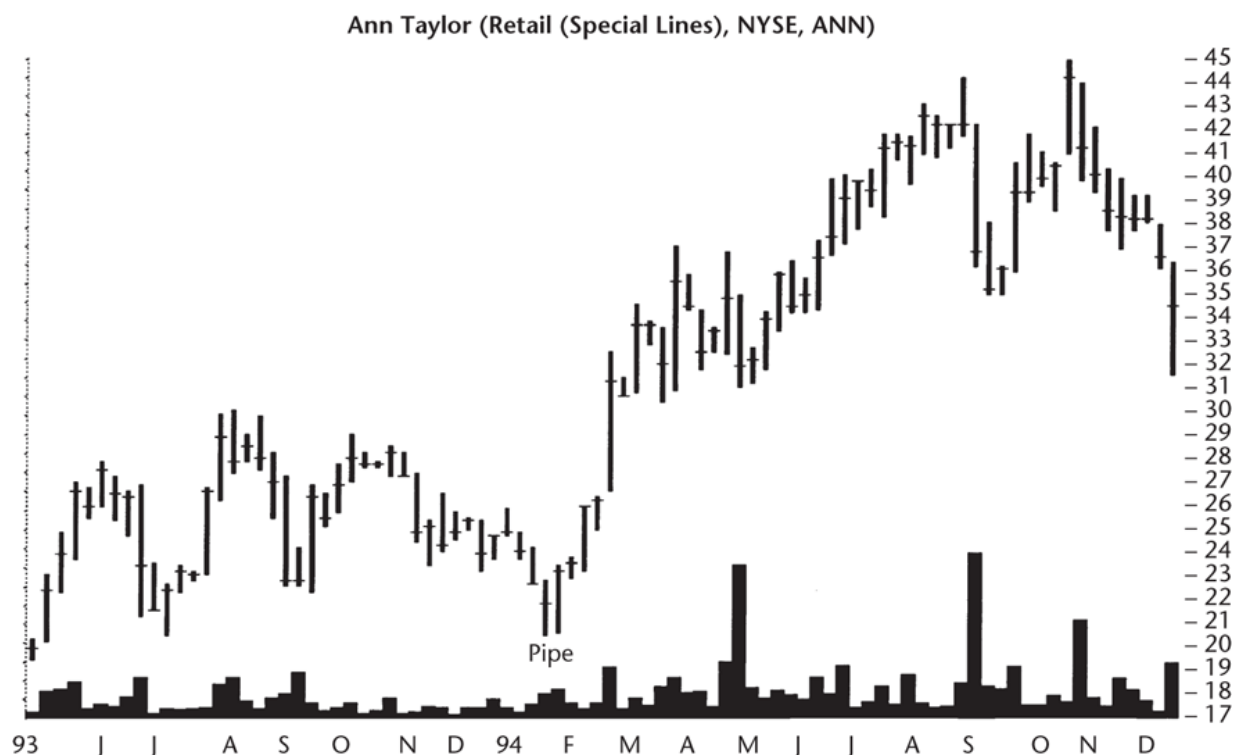


Figure 49.1 A pipe bottom on the weekly chart. Pipes commonly form after a retrace in an uptrend or at the bottom of a prolonged downtrend.

Identification Guidelines

How do you correctly identify pipe bottoms? [Table 49.1](#) outlines the identification guidelines. Although there are a number of them to consider, they are really quite obvious. Look at the pipe shown in [Figure 49.2](#).

Appearance. The pipe bottom looks like a railroad spur sticking below the surrounding price track. Look for two adjacent price spikes, which are obvious because they drop far below the surrounding weeks ([Figure 49.1](#) shows a better example of how obvious a pipe bottom should look).

Weekly chart. Use weekly charts to find pipes. Although pipes appear on daily charts, they do not perform as well as pipes on weekly charts, probably due to how I measure performance.

Two downward adjacent spikes. Two adjacent downward price spikes compose the pipe bottom, and it looks like two parallel lines on the chart.